

DLocal Limited (NASDAQ: DLO) -- Company Context

1. Historical Background

Founding Story

DLocal was founded in 2016 in Montevideo, Uruguay, as a spin-off from AstroPay, a cross-border payment card provider. The three key founders are:

- **Andres Bzurovski** -- Serial entrepreneur, co-founded AstroPay before co-founding dLocal. Holds a Technology degree from the University of Northampton (UK) and a Marketing degree from ORT University Uruguay. Distinguished Endeavor entrepreneur and angel investor. Listed among the Forbes 2,000 richest people globally.
- **Sergio Fogel** -- 30+ years as entrepreneur, executive, and investor. MBA from INSEAD, MS in Computer Science from Technion (Israel). Previously worked at IBM Haifa Research Labs and Oracle. Founded several companies including ElAgora.com (B2B marketplace), Uniotel (VoIP/long-distance carrier), JetNumbers.com, and AstroPay. Active angel investor with 30+ startup investments.
- **Sebastian Kanovich** -- Born in Uruguay, has lived in Israel for approximately a decade. Bachelor's in Economics from Universidad ORT Uruguay, studied Entrepreneurship & Innovation at Tel Aviv University, completed Endeavor Innovation and Growth Program at Stanford GSB. Previously CEO of AstroPay, growing it into a premier cross-border payment processor. Named to MIT's Innovators Under 35 list.

The founding insight came from direct experience at AstroPay: global enterprise merchants expanding into emerging markets were struggling to accept and send payments because each country had unique payment methods, regulatory requirements, currencies, and banking infrastructure. DLocal was built to solve this with a single API integration across all emerging markets.

The company's first product was in Brazil, supporting Boleto (a cash-based payment method). An early win came when GoDaddy noticed their solution's effectiveness and flew the team to Arizona to propose white-labeling the technology, marking dLocal's pivot from B2C to B2B enterprise focus.

AstroPay / Directa24 Relationship

DLocal was spun off from AstroPay in 2016. AstroPay subsequently spun off its payment processing services into Directa24 (D24) around 2020. These entities share common founding principals (Bzurovski and Fogel). This relationship has been a persistent point of contention, with

short sellers alleging undisclosed related-party transactions between the entities. AstroPay has since pivoted to a global digital wallet model, and the companies operate independently, though the historical connection remains.

Pre-IPO Funding

Round	Date	Amount	Lead Investors	Valuation
Seed	2016	\$6.5M	Angel investors	--
Series D	Sep 2020	~\$200M	General Atlantic, Addition, Endeavor	\$1.2B
Series D (extension)	Apr 2021	\$150M	Alkeon Capital, Tiger Global, BOND, D1 Capital	\$5.0B

The September 2020 round made dLocal **Uruguay's first-ever unicorn** and one of the highest-valued Latin American fintech companies at the time.

IPO Details

- **Date:** June 3, 2021 (pricing); trading began on Nasdaq Global Select Market
- **Ticker:** DLO
- **IPO Price:** \$21.00/share (priced above the initial range of \$16-\$18)
- **Shares Sold:** 29.4 million (4.4M primary, ~25M secondary from existing investors)
- **IPO Proceeds:** ~\$617.65 million total
- **IPO Valuation:** ~\$6.06 billion
- **Underwriters:** J.P. Morgan, Goldman Sachs, Citigroup, Morgan Stanley
- **First-day Pop:** Shares jumped over 50%, reaching a ~\$9B valuation on debut

Key Milestones

Date	Milestone
2016	Founded as spin-off from AstroPay
Sep 2020	Became Uruguay's first unicorn (\$1.2B valuation)
Apr 2021	Raised \$150M at \$5B valuation; appointed Sumita Pandit as COO, Jacobo Singer as President
Jun 2021	IPO on Nasdaq at \$21/share
Sep 2021	Stock reaches all-time high of ~\$73
2022	Acquired PrimeiroPay (Latin America expansion)
Nov 2022	Muddy Waters short report; stock drops ~50% in a day
Dec 2022	Company refutes short allegations, announces buyback program
Jun 2023	Sergio Fogel appointed Co-President and Chief Strategy Officer
Aug 2023	Pedro Arnt (ex-MercadoLibre CFO) appointed Co-CEO alongside Kanovich
Sep 2024	Carlos Menendez (ex-Mastercard) appointed COO
Dec 2024	Jacobo Singer steps down from operational roles, remains on board
Jan 2025	Secured UK FCA Authorised Payment Institution license; partnership with ICC UK
Feb 2025	Hollenden Square Research publishes second short report; stock drops ~10%
Jun 2025	Announced intention to acquire AZA Finance (Africa expansion, ~\$150M)
Aug 2025	Guillermo Lopez Perez appointed CFO (ex-Visa, ex-Amex)
Dec 2025	Board reaches majority-independent composition (5 of 9 directors independent)

Geographic Expansion Timeline

DLocal started in Brazil and Latin America, then systematically expanded: - **Latin America:** Core market from founding -- Brazil, Mexico, Argentina, Colombia, Chile, Uruguay, etc. - **Asia:** India, Indonesia, Malaysia, Thailand, Vietnam, Philippines - **Africa:** Nigeria, Kenya, South Africa, Egypt, Morocco, Ghana, and 8+ additional markets (14 total in Africa) - **Middle East:** UAE, Saudi Arabia, Jordan, Turkey - **UK/Europe:** Secured FCA license in Jan 2025 to onboard UK merchants; holds EU licenses

The company now operates in **40+ countries** with **900+ local payment methods**.

Stock Price History

Period	Price Range	Notes
IPO (Jun 2021)	\$21 (IPO) -> ~\$32 (close day 1)	50%+ first-day pop
All-time high	~\$73 (Sep 1, 2021)	Just 3 months post-IPO
Post-Muddy Waters (Nov 2022)	Dropped from ~\$20 to ~\$10 in a day	~50% single-day decline
All-time low	\$6.57 (Aug 5, 2024)	Broad EM fintech sell-off
52-week range (as of early 2026)	\$7.61 - \$16.78	
Recent (Feb 2026)	~\$12	~84% below ATH

The stock's decline from \$73 to sub-\$12 reflects a combination of: fintech multiple compression (2022-2023), short seller attacks, take rate compression concerns, and emerging market macro headwinds.

2. Management Background

Current C-Suite

Pedro Arnt -- Chief Executive Officer (since Aug 2023) - Education: BA in Political Science from Haverford College (1995); MPhil in Latin American Studies from University of Oxford (1997) - British and Brazilian citizen - Previously spent 24 years at MercadoLibre (1999-2023), serving as CFO from 2011-2023. During his CFO tenure, MELI's market cap grew from \$4B to \$70B - Prior to MELI: Boston Consulting Group - Serves on the Board of Directors of Allegro.eu (European marketplace) - Executive Advisor to Riverwood Capital - His appointment was seen as a major credibility upgrade; DLO shares rallied on the announcement

Guillermo Lopez Perez -- Chief Financial Officer (appointed Aug 2025) - 25+ years in finance and payments - Former CFO at Featurespace and at Tink (acquired by Visa) - CFO of Visa's Continental Europe business - 13-year tenure at American Express in various leadership roles - Replaced interim CFO Jeffrey Brown (VP of Finance)

Carlos Menendez -- Chief Operating Officer (since Sep 2024) - 30+ years of leadership experience - Former President of Commercialization Office at Mastercard - Previous roles at Citibank and Procter & Gamble - Education: Degrees from Harvard University and the Wharton School

Sergio Fogel -- Co-President and Chief Strategy Officer (since Jun 2023) - Co-founder; has been on the board since inception - Provides strategic vision and hands-on support on key business initiatives - Forbes Finance Council member - See Founding Story section for full background

Former Key Executives

Sebastian Kanovich -- Co-Founder, former CEO - Led the company from founding through IPO and initial public market period - Transitioned to Co-CEO with Pedro Arnt in Aug 2023; subsequently stepped back further - Remains on the board of directors

Jacobo Singer -- Former President and COO - Background in software engineering from Universidad ORT Uruguay; MBA from Wharton - Started as junior developer at AstroPay; became CTO when dLocal spun off - Rose to President; oversaw expansion across LatAm, APAC, Middle East, and Africa - Stepped down from operational roles Dec 2024, remains on board

Sumita Pandit -- Former COO (2021-2023) - Former Managing Director and Global Head of Fintech at J.P. Morgan - Previously at Goldman Sachs - MBA from Wharton - Left dLocal in 2023; became Chief Growth Officer at Radian

Board of Directors (as of Dec 2025)

Nine-person board, now majority-independent (5 of 9):

Independent Directors: - **Paco Ybarra** -- 36-year career at Citigroup, was CEO of Institutional Clients Group and member of Citi's Management Committee (appointed Dec 2025) - **Nelson Mattos** -- Technology and data background (appointed Dec 2025) - **Will Pruett** -- Experience from Fidelity Investments and HSBC (appointed Jul 2025) - **Dr. Veronica Raffo** -- Partner at Ferrere (top Latin American law firm), 25+ years advising global clients on corporate governance. Incoming Regional Chair Latin America of YPO. Named Uruguay's most highly reputed woman business leader by MERCO every year since 2019 - **Hyman K. Bielsky** -- Former CEO and Chairman of Safety-Kleen Europe; extensive legal and operating leadership experience in public and private companies

Non-Independent Directors: - **Andres Bzurovski** -- Co-founder, Chairman - **Sebastian Kanovich** -- Co-founder - **Pedro Arnt** -- CEO - **Luiz Ribeiro** -- Board member

Board Committees (new as of late 2025): Audit, Nominating & Corporate Governance, Compensation, Product & Technology.

Management Perception

- **Analyst sentiment:** Pedro Arnt's hiring was viewed as a transformational move, given his track record building MercadoLibre. His credibility with Wall Street is seen as a significant asset
- **Glassdoor:** 3.5/5 stars (135 reviews as of 2025). 66% would recommend to a friend. Employees rate work-life balance at 3.4/5, culture/values at 3.3/5, career opportunities at 3.5/5. Common positives: interesting work, growth opportunities, great teams. Common negatives: startup-like growing pains, burnout concerns

- **Governance improvements:** The transition to a majority-independent board and creation of new committees (late 2025) has been viewed positively by investors as a governance maturation milestone

3. Interesting / Unique Statistics

Uruguay's First (and Only) Unicorn

DLocal is the first company from Uruguay (population ~3.5 million) to achieve unicorn status and list on a major U.S. exchange. It put Uruguayan fintech on the global map.

Revenue & Growth Trajectory

Year	Revenue	YoY Growth
2021	~\$244M	~110%
2022	~\$419M	~72%
2023	~\$650M	~55%
2024	~\$746M	~15%

Revenue growth decelerated in 2024, driven primarily by take rate compression even as volume growth accelerated.

Total Payment Volume (TPV)

Period	TPV	YoY Growth
FY 2022	~\$10.6B	--
FY 2024	~\$25.6B	45%
Q1 2025	\$8.1B	53%
Q3 2025	\$10.4B	59%

TPV growth has been re-accelerating, from 45% in FY2024 to nearly 60% in Q3 2025.

Net Revenue Retention (NRR)

One of dLocal's most remarkable historical metrics -- showing how existing merchants naturally grow their payment volumes through dLocal:

Period	NRR
FY 2021	219%
FY 2022	165%
Q4 2023	149%
Q4 2024	106%

The decline from 219% to 106% reflects both the maturation of early cohorts and an increasingly large base. Even at 106%, existing merchants continue to organically grow.

Profitability

DLocal claims to have been **profitable every single year since founding** (2016 onward). This is extremely rare for a high-growth fintech. FY2024 gross profit: \$295M. Adjusted EBITDA: ~\$189M (though down 7% YoY due to investment in infrastructure).

Merchant Base

- 700+ merchants globally
- 5 of the 6 largest tech companies in the world are clients
- Top 10 customers represented ~56% of revenue (as of 2021); only 1 customer >10% of revenue
- 10 different verticals served; no single vertical >20% of TPV
- Named clients include: Amazon, Microsoft, Uber, Meta, Spotify, Shopify, Booking.com, GoDaddy, Didi, Dropbox, TripAdvisor, Wikimedia, Zara, Temu

Geographic & Payment Method Coverage

- 40+ countries
- 900+ local payment methods supported
- 14 countries in Africa alone
- 30+ regulatory licenses, permissions, and registrations globally

Key Partnership: Temu (March 2025)

DLocal partnered with Temu to provide payment processing across 14 emerging markets in Africa, Asia, and Latin America -- demonstrating its ability to win major Chinese e-commerce platform business.

4. Short Theses (Past and Present)

Muddy Waters Capital (November 16, 2022)

The Attack: Muddy Waters, led by Carson Block, published a report declaring dLocal's accounting was "highly likely fraudulent." The stock dropped ~50% in a single day.

Key Allegations: - Inflated Total Payment Volume (TPV) with contradictory disclosures about TPV and accounts receivable - Unrealistic take rates -- Muddy Waters estimated FX gains were roughly double or triple what they should be - Approximately half of revenue and take rates comprised of FX gains and fees - Concerns about commingling of merchant funds with company cash - Alleged loans to senior leadership using merchant cash

Company Response (Dec 20, 2022): - Called the report "inaccurate, groundless claims and speculation" - Audit Committee (independent directors) oversaw review with independent counsel and a global expert services firm - Stated it maintains separate bank accounts for merchant cash and its own cash - Reviews verified balance sheet amounts were consistent with bank statements as of Sep 30, 2022 - Announced \$100M share buyback program - Key shareholders proposed share purchases as a show of confidence

Outcome: The independent review found no merit in the allegations. However, the stock never recovered to pre-report levels, reflecting lingering credibility damage. The incident accelerated governance improvements (board independence, new committees).

Hollenden Square Research (February 2025)

The Attack: Hollenden Square Research (HSR), a private entity with a disclosed net short position, published two open letters to dLocal's board based on "500+ pages of investigative research." Stock dropped ~10%.

Key Allegations: - Network of undisclosed related parties and subsidiaries - Transactions with questionable counterparties - Financial statements containing numerous inaccuracies - Discrepancies between FX net exposure reported by individual subsidiaries vs. consolidated accounts - Failure to properly consolidate certain controlled entities - Drew comparisons to Wirecard/BCCI (inflammatory framing) - Focused on connections between dLocal, AstroPay, and Directa24

Company Response: - Deemed allegations "inaccurate and misleading, made by interested parties who profit from the Company's stock price falling" - Pointed to prior independent investigations that found no merit to similar claims - Reconfirmed the independent reviews previously carried out

Outcome: Stock impact was more muted than the Muddy Waters report (~10% vs ~50%), suggesting the market had somewhat priced in the "related party" risk and/or found the allegations less credible the second time around.

Recurring Bear Arguments

1. **Take rate compression:** Net take rate has declined from ~1.4% in 2022 to ~1.0% in Q3 2025. Bears argue this reflects commoditization of EM payments and pricing pressure from larger competitors (Adyen, Stripe) entering these markets
2. **AstroPay/Directa24 related-party risk:** The shared founding principals and alleged ongoing connections between these entities remain a governance concern for some investors
3. **Customer concentration:** Heavy reliance on large tech merchants gives those clients significant pricing leverage
4. **FX exposure:** A meaningful portion of gross profit comes from FX spreads, which are volatile and could compress as markets mature and competition increases
5. **Emerging market macro risk:** Currency devaluations (Argentina, Nigeria, Egypt), political instability, and regulatory changes in core markets
6. **Governance concerns:** Historically, founder-dominated board with limited independence (now largely addressed with majority-independent board as of Dec 2025)

Short Interest

As of early 2026: ~12.6 million shares short, representing **~16.7% of float** -- a meaningfully elevated level indicating persistent bearish sentiment.

5. Major Competitors

Direct Competitors (EM Payment Specialists)

EBANX (Private, Brazil)

- **Description:** Brazilian payment gateway focused on helping global merchants accept payments in Latin America. Founded 2012 in Curitiba, Brazil.
- **Advantages vs. DLO:** Deeper Brazil expertise (home market); more comprehensive services including recurring payments, billing, and localization consulting; 24/7 customer support; lower baseline fee (2.7% + 30c vs. DLO's 2.7-7%); stronger in consumer-facing checkout experiences
- **Disadvantages vs. DLO:** Primarily Latin America only (vs. DLO's 40+ countries in LatAm, Africa, Asia); fewer payment methods (~100 vs. 900); does not accept cash payments; no payout capability (pay-in focused only)

Rapyd / PayU GPO (Visa subsidiary)

- **Description:** Global fintech offering full-stack payment processing, payouts, card issuing, and multi-currency accounts. Rapyd acquired PayU GPO. Operates in 100+ countries with 1,200+ payment methods.
- **Advantages vs. DLO:** Broader global coverage (100+ vs. 40+ countries); full-stack solution including card issuing and wallet services; Visa backing provides capital and credibility
- **Disadvantages vs. DLO:** Less specialized in emerging markets; spreading resources across developed and emerging markets; enterprise EM expertise and local regulatory depth may be thinner

Flutterwave (Private, Nigeria)

- **Description:** Pan-African payment technology company enabling cross-border transactions. Present in 35+ African countries. Backed by Tiger Global, Avenir.
- **Advantages vs. DLO:** Deeper roots in Africa (home continent); presence in 35+ African countries vs. DLO's 14; strong brand recognition with African SMEs and enterprises; partnerships with Uber and African airlines
- **Disadvantages vs. DLO:** Primarily Africa-focused with limited Latin America/Asia presence; less enterprise-grade for global merchants; regulatory and compliance challenges; governance controversies of its own

Paystack (Stripe subsidiary, Nigeria)

- **Description:** African payment processor acquired by Stripe in 2020 for ~\$200M. Focused on helping African businesses accept payments. Operates in Nigeria, Ghana, Kenya, South Africa, Egypt, Rwanda, and Cote d'Ivoire.
- **Advantages vs. DLO:** Stripe's backing provides technology, capital, and global merchant pipeline; excellent developer experience and documentation; strong SME adoption in core African markets; infrastructure-first approach with focus on reliability
- **Disadvantages vs. DLO:** Only 7 African countries vs. DLO's multi-continent coverage; primarily domestic payments vs. DLO's cross-border focus; limited to Africa; smaller scale

Nuvei (NASDAQ: NVEI)

- **Description:** Canadian payment technology company accepting payments in 150 currencies across 200+ markets. Went public 2020, taken private by Advent International in 2024.
- **Advantages vs. DLO:** Much broader market coverage (200+ markets); advanced localization features; stablecoin/blockchain-powered cross-border payouts for faster settlement and lower FX costs; full-stack processor with end-to-end control
- **Disadvantages vs. DLO:** Less specialized in emerging markets -- more developed-market focused; EM regulatory depth likely thinner; taken private, reducing transparency

Payoneer (NASDAQ: PAYO)

- **Description:** B2B fintech enabling cross-border payments, serving 5M+ users in 190+ countries. Strong in freelancer/gig economy and marketplace payouts.
- **Advantages vs. DLO:** Massive user base (5M+); broader country coverage (190+); strong wallet infrastructure for ongoing payment relationships; established marketplace/platform integrations
- **Disadvantages vs. DLO:** Different focus: primarily payouts to workers/sellers vs. DLO's merchant pay-in focus; less depth in local alternative payment method acceptance; different customer profile (SMEs/freelancers vs. global enterprises)

Indirect Competitors (Global Processors Entering EM)

Adyen (AMS: ADYEN)

- **Description:** Dutch full-stack payment processor. ~\$50B+ market cap. End-to-end payments infrastructure globally.
- **Advantages vs. DLO:** Full-stack processor controlling entire payment chain (vs. DLO's aggregator model); massive scale and enterprise relationships; stronger brand and trust with global enterprises; direct acquirer status in many markets
- **Disadvantages vs. DLO:** Primarily focused on developed markets (EU, US); emerging market coverage is secondary and expanding gradually; lacks depth in local alternative payment methods in frontier markets; higher price point; building EM presence is slow and expensive

Stripe

- **Description:** Private fintech (~\$65B+ valuation). World's leading online payment processing platform for internet businesses.
- **Advantages vs. DLO:** Best-in-class developer experience; massive merchant base that could upsell EM capability; owns Paystack (Africa); enormous engineering resources; brand power
- **Disadvantages vs. DLO:** EM is not core focus -- prioritizes developed markets; EM coverage still limited outside Africa (via Paystack); local regulatory licenses and alternative payment method coverage much thinner than DLO in most EM geographies

PayPal

- **Description:** Global digital payments leader, ~\$60B+ market cap. Partnered with dLocal in several EM markets.
- **Advantages vs. DLO:** Massive brand recognition globally; direct consumer relationships; existing presence in many EMs

- **Disadvantages vs. DLO:** Not competitive in local alternative payment methods (relies on card/PayPal wallet); partners with dLocal for EM access (validates DLO's value proposition); less focused on B2B enterprise cross-border flows

Competitive Moat Assessment

DLocal's key defensible advantages vs. the competitive set:

1. **Regulatory web:** 30+ licenses across 40+ countries -- extremely time-consuming and expensive to replicate
2. **Local payment method coverage:** 900+ methods vs. competitors' 100-300
3. **Single API for all EMs:** No competitor offers comparable breadth across LatAm + Africa + Asia via one integration
4. **Enterprise trust:** Serving 5 of the 6 largest tech companies validates the platform's reliability at scale
5. **Bespoke FX and risk models:** Built specifically for volatile EM currencies and high-fraud environments
6. **Network effects:** As more merchants and volume flow through, dLocal gains better pricing with local banks and processors

The primary competitive risk is that global giants (Adyen, Stripe) gradually build comparable EM depth, compressing DLO's take rates. However, the pace of this expansion has been slower than feared, and DLO continues to grow TPV at 50%+ rates, suggesting its moat remains intact in the near term.

Research compiled March 2026. Information is based on publicly available sources and may contain inaccuracies. Investors should verify all data independently.